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- *The IMD projected below normal rainfall, amidst expectations of a strong El Niño occurrence.*
- *Past trends suggest that only a significant shortfall in rainfall materially impacts output.*
- *The increasing share of irrigated land serves as a key mitigating factor.*
- *Other counterbalancing factors by way of excess foodgrain stocks, reservoir levels, fertilisers and administrative steps will help prevent a price spiral.*
- *Passthrough to rain-sensitive crops, nonetheless, pose upside risks to our inflation forecast.*
- *Implications for forecasts: The RBI policy committee is unlikely to act in a hurry on supply-side shocks.*

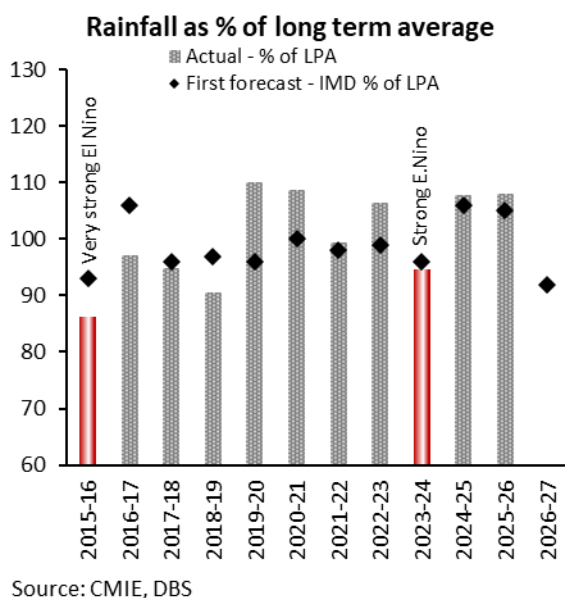
El Niño and monsoon – some but not all

The NOAA ([press release](#)) highlighted a growing 61% chance that El Niño might emerge around mid-year and persist through at least the end of 2026. Observers have also cited the likelihood that this year's build up might be the strongest in over three decades. Typically, in the Asia Pacific, this development weakens monsoon and can lead to drought in some parts, also raising the risk of wildfires. Besides El Niño, the Indian Ocean Dipole (IOD) will also influence rain patterns, with officials expecting a positive IOD condition to partly mitigate the El Niño impact.

The Indian Meteorological agency IMD has projected a below normal monsoon for 2026, in midst of expectations of a strong El Niño occurrence. Seasonal rainfall over the country is seen at 8% below the Long Period Average (LPA), with a 66% probability of monsoon being below normal or deficient. Risk of heatwaves was also highlighted as a risk for the Apr-Jun quarter. Private agency Skymet projected rainfall at 94% of LPA, with second half of the peak period (June to September) to experience shortfalls. **The IMD's next updated forecast is due in the last week of May.**

In India, recent El Niño occurrences have coincided with below normal rainfall though not necessarily drought-like conditions – see chart. In 2015-2016, IMD's first forecast was 93% of LPA, which was revised to 88% later and actual was closer to 86%. In the past three

years, FY24 was the weaker end of normal range after experiencing a relatively strong El Niño phase ([link](#)), followed by two successive years of above normal rains at 108% in FY25 and FY26. The crucial southwest monsoon accounts for ~70% of the annual rainfall, concentrated during June to September.



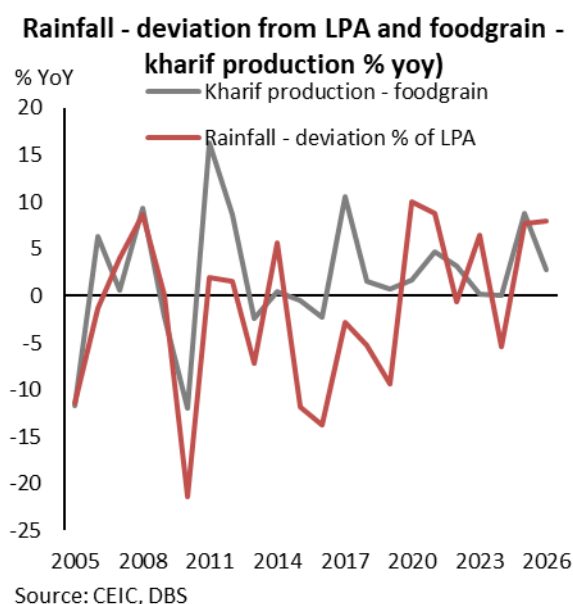
Economic watch factors

Output

The extent of the economic impact will depend on the severity, intensity, and length of the El Niño occurrence. At the same time, not only the strength of aggregate rainfall, but also its distribution can impact output.

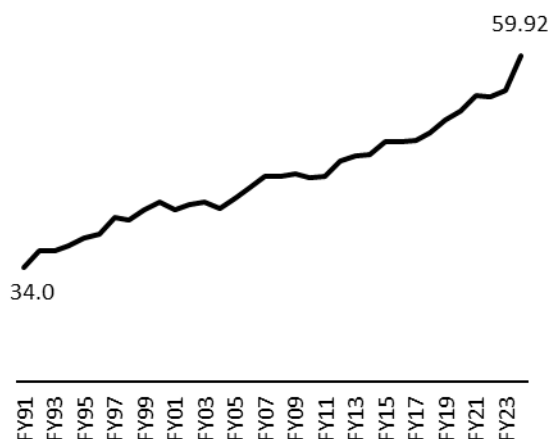
The share of agriculture in India's growth mix is modest at 16-17% of GDP but has accounted for a little less than half of overall employment in recent years. **The correlation of the crops sub-component under GVA (gross value added), which makes up half of overall agriculture forestry and fishing (AFF), and foodgrain output is high.**

For kharif foodgrain, we observe that in the past three decades, more than 10-11% shortfall in the rainfall vs the LPA causes material impact on the foodgrain output. For instance, 2014-2016, monsoon was an average 12-13% below the LPA (see chart), resulting in a fall in the summer foodgrain output. This was partly responsible for the -0.2% yoy fall in GVA-agri and allied services in FY15 and a modest 0.6% growth in FY16. Hence, assuming a stark double-digit shortfall in the monsoon vs LPA pushes the GVA-AFF growth rate from 3.5% to 2% in the coming year, this could result in 20-30bp reduction in overall headline growth.



As a mitigating factor, the share of gross irrigated area as a percentage of overall gross cropped area has continued to increase, suggesting a reduction in directly rain-fed acreage. Yet, key rain-fed summer crops, which are largely grown during the Kharif season, are heavily dependent on the Southwest monsoon, with major production including rice, soybeans, cotton, maize, and pulses, as well as few horticulture plants.

Gross irrigated area as % of gross cropped area



Source: CMIE, DBS

Inflation impact

The temporal and geographical distribution of rainfall will determine the eventual impact.

We tracked movements in India's food CPI inflation against the last two El Niño periods (of which 2015-2016 was more severe), which showed that swings were moderate, even if not non-trivial. A key offset for inflation during the adverse El Niño spell in 2015-2016 was lower commodity prices including energy, which helped to keep a lid on non-food pressures. By contrast, energy commodity prices are elevated at this juncture, suggesting price pressures could stem from other quarters as well.

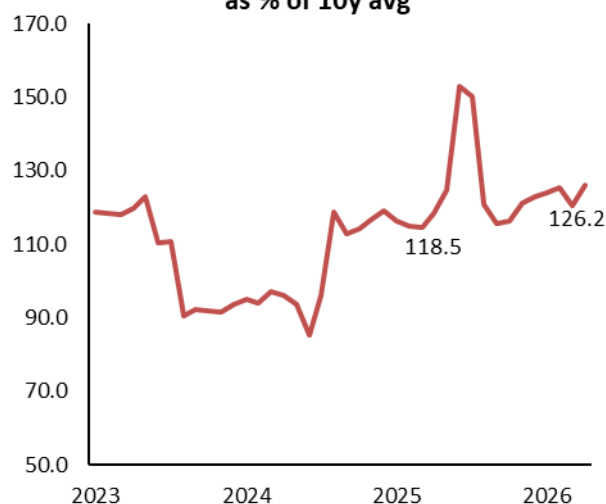
Encouragingly, price pressures can be partly mitigated by current foodgrain inventories and potential supply countermeasures. The country has ample official foodgrain stocks. As of May26, total foodgrain stocks in the central pool (managed by Food Corporation of India) jumped to over 60.mn metric tonnes (LMT), which is nearly three times the required buffer norms – comprising of 38.6mn LMT of rice and

21.8mn LMT of wheat. Shortages can be met by these inventories to keep prices stable. Nonetheless, certain other crop groups where maintaining inventories is a challenge (perishables like vegetables) and where stocks are generally inadequate (oilseeds, pulses) could face price pressure. On the latter, imports have been stepped up in the past instances to cap the scale of price hikes.

Secondly, risk of shortages will be addressed via pre-emptive supply side price management steps including redistribution of inter-state supplies, stepping up imports or export bans to boost domestic stocks, supporting better crop yields, containing hoarders, amongst others.

Add to this, adequate reservoir and groundwater levels from the past should also provide some extent of offset until the winter crop but build up for the subsequent cropping seasons will fall short if the shortfall in monsoon is significant. Current storage levels are higher than comparable period last year – see chart.

Reservoir: Current live storage as % of 10y avg

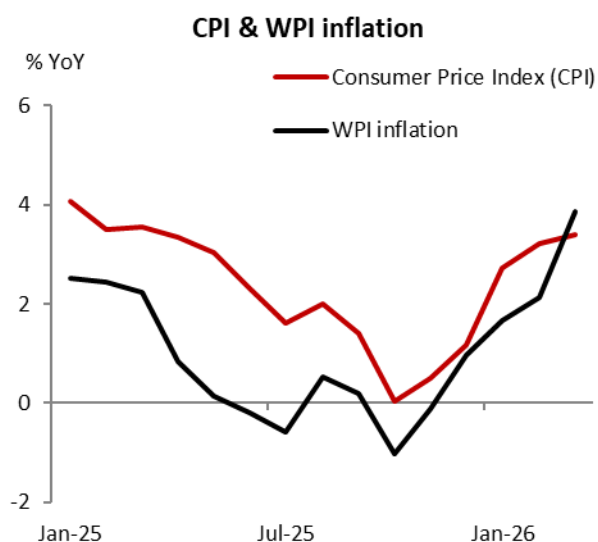


Source: CMIE, DBS

Confluence of forces. At an aggregate level, inflation faces a confluence of pressures – energy prices, second derivative impact via logistics and transport costs, higher input costs for businesses, jump in global fertiliser prices which will result in higher subsidy outlay and vulnerable perishables. Factoring in a modest scale of pump price hike and pipeline monsoon risks, we revise our annual inflation forecast to 4.9% yoy (risks of further upside) for FY27, before easing to 4% next year.

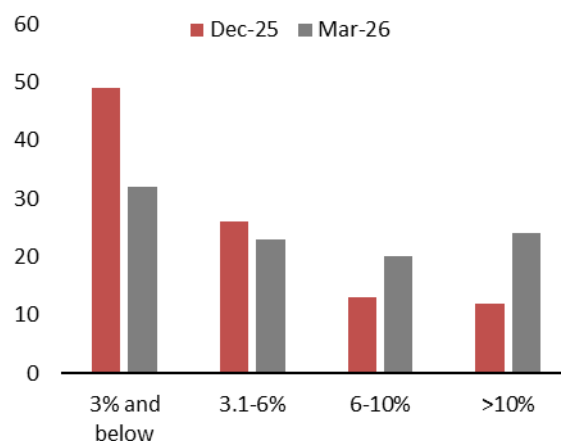
Compared to retail inflation, the wholesale index is more sensitive to commodity and imported price pressures and is expected to rise further due to base effects and external factors.

WPI inflation outpaced CPI gauge in the month (see chart), signalling pipeline risks. This is reinforced by the sharp rise in PMI input price gauge as well as IIMA Business Inflation Expectations Survey (BIES) for March 2026, which cumulatively point to firms facing strong cost-push factors, which are still be passed on down the value chain to the consumers.



Source: CEIC, DBS

How to current unit costs compare to last year?



Source: BIES Survey, IIM Ahmedabad

Policy implications.

The RBI monetary policy committee (MPC) is unlikely to exhibit urgency in tightening policy in response to supply-side - energy and food - pressures. The risk of further rate hikes will increase if there are signs of a sharp rise in inflation expectations and a sustained spillover of elevated headline inflation into core inflation readings. **Our baseline view is for the MPC to keep the benchmark rate to keep rates unchanged during 2026.**

Other non-policy measures have been undertaken to stabilize the rupee as discussed [here](#) and [here](#). Measures to draw in more dollar flows are reportedly under consideration, including a plan for state-owned banks to sell foreign currency bonds, or introduce a special non-resident deposit scheme. At this juncture, any underlying swap arrangements will need to factor in higher prevailing US rates vs past cycles (including 2013 taper tantrum), which in turn implies higher subsidy support from the RBI. The quantum of issuance will also need to at least partially commensurate with current funding requirements.

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Indonesia growth: Firm start, speed bump ahead

Economics/Indonesia

DBS Group Research

May 05, 2026

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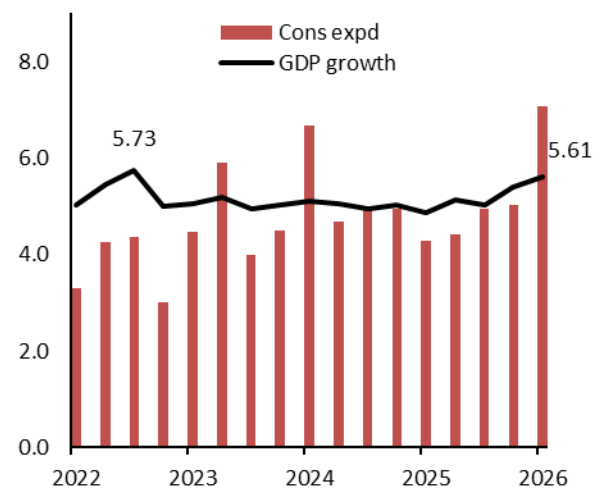
- *Indonesia's economy expanded 5.6% yoy in 1Q26, matching our above-consensus forecast.*
- *Government spending emerged as a key support, while net exports weakened.*
- *1Q26 likely marked the peak*
- *Speed bumps lie ahead by way of high energy prices and pressure to consolidate public finances.*
- *Authorities are likely to delay increases to the fuel pump prices.*
- *This will necessitate adroit fiscal management to keep within the -3% of GDP.*
- *Implications for markets: Rupiah might surface as a bigger bother than inflation for the BI.*
- *Jump in SRBI returns has resulted in stealth policy tightening.*

Strong start to the year

Indonesia's economy expanded by a firm 5.6% yoy in 1Q26, in line with our forecast. This marks the fastest quarterly growth since 3Q22. Economic momentum was relatively resilient at the start of the year, supported by higher consumption due to religious festivities, fiscal stimulus measures including the traditional holiday allowance, low base effects, strong government spending and firmer sentiments. Activity, however, softened at the tail end of the quarter around March, due to volatility in the equity markets, and firms facing supply distortions as well as high costs due to the onset of the US-Iran tensions.

Domestic activity props headline growth

% yoy

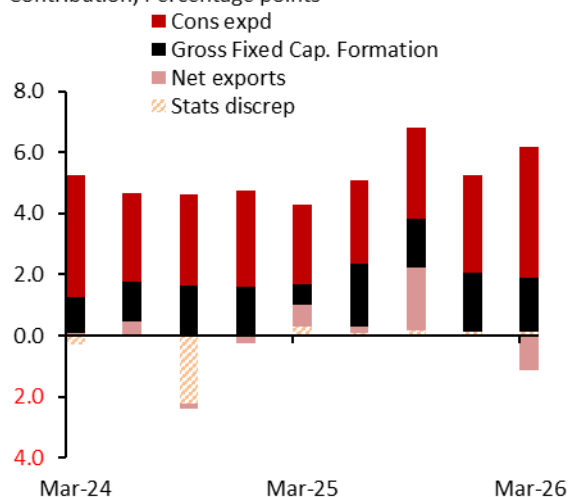


Source: CEIC, DBS

Consumption rose by 7% yoy, helped by higher household and government spending. Investment growth also maintained a strong beat at around 6% yoy in the quarter. Net exports surfaced as a key drag in the period, subtracting 1.2ppt off the headline.

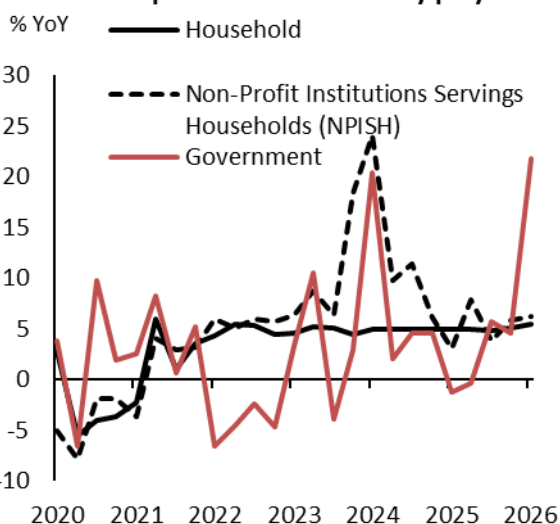
Indonesia: breakdown of GDP growth

Contribution; Percentage points



Source: CEIC, DBS

Consumption breakdown - key players



Source: CEIC, DBS

Outlook: The first quarter likely marked the growth peak, with the momentum set to moderate as real activity could be dampened by high energy prices and pressure to consolidate public finances. Factoring in these risks, we moderate our growth forecast slightly to 5.1% vs 5.3% currently for 2026.

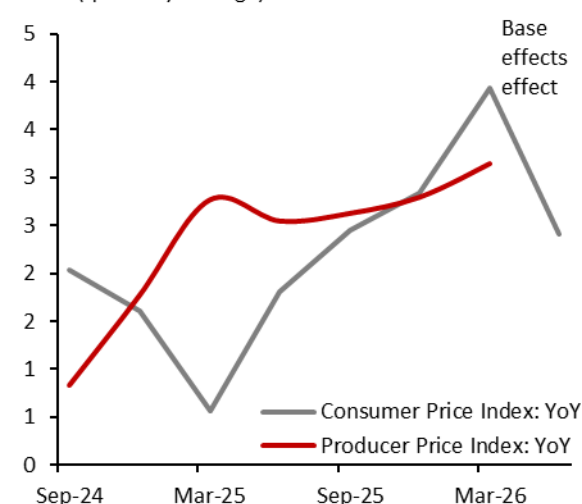
Bank Indonesia – hawkish pivot

1Q26 CPI inflation averaged a strong 3.9% yoy vs 2.1% average in 2025. An assessment based on these numbers should be viewed with

caution due to a low base, with headline CPI inflation expected to normalise 2Q onwards. True to the word, April 2026 inflation eased to 2.4% yoy driven by fading power subsidy-related base effects and demand moderated post-Lebaran. Nonetheless, a gradual but steady pick up in the PPI measure warrants attention as firms face higher upstream input costs and are yet to fully pass these to the final output prices.

Wholesale prices - pipeline pressures

% YoY (quarterly average)

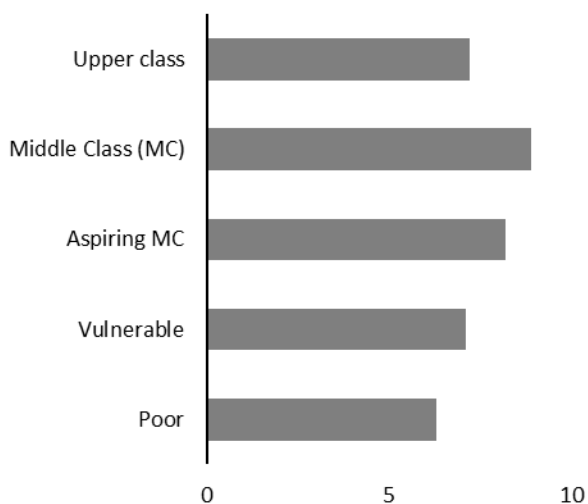


Source: CEIC, DBS

We see two channels of price impact. Firstly, a decision of changes in the retail pump prices and associated second derivative impact will be crucial. Our full year CPI inflation forecast at 3.2% assumes no change in the administered fuel prices this year, which is also affirmed by our onshore channel checks as the government appears to treat any subsidy cut as a move of last resort. Nonetheless, with the Strait of Hormuz closure, the passthrough from higher oil, natural gas and fertilisers warrant attention, which could translate into ~0.05-0.1% impact, assuming static retail prices. Notably, the share of energy consumption is higher amongst the middle-class vs other household categories. This deals additional strain on purchasing power, magnified by the absence of social

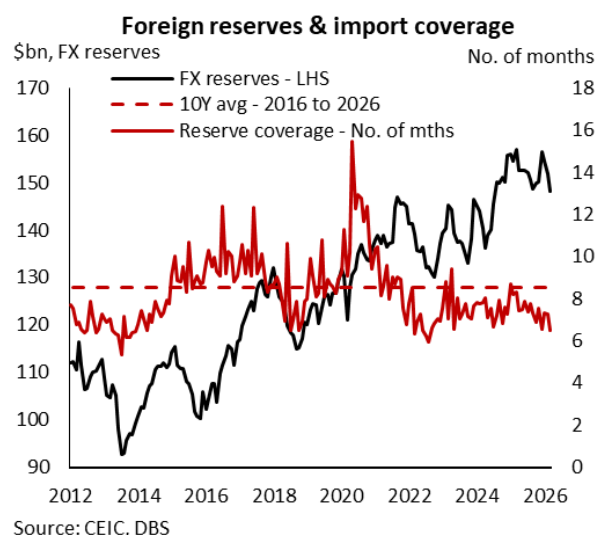
assistance or welfare measures for this stratum of the populace. Aggregate minimum wage has also risen by a more modest pace than in the past few years. **Secondly**, other factors like rupiah depreciation and El Nino-related disruptions in this quarter and next.

Energy consumption - share (% of total expenditure - by class



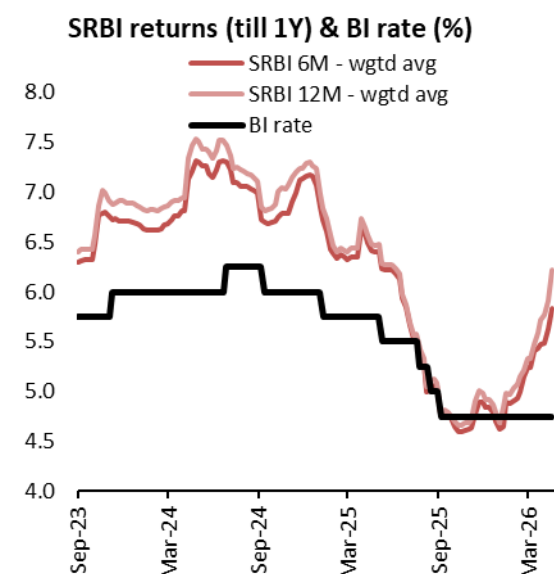
Source: LPEM FEB UI, BPS

Bank Indonesia held rates unchanged in April but guidance carried hawkish undercurrents. We see two pre-conditions for the BI to shift to a tightening bias: firstly, sharp depreciation pressures on the currency, and secondly, an increase in the domestic administered subsidised fuel prices, which could generate both direct and second-round price pressures, taking inflation beyond the official target range. While we see a lower probability of an increase in the pump prices, rupiah depreciation will be a concern for the central bank, with the FX reserve buffer also moderating in recent months – see chart.



Our base case is for the BI to stay on hold this quarter but see an increasing likelihood of a measured hike to defend the currency in 2Q. USDIDR rose past a new high at 17400 in May, due to a bid dollar, higher oil and seasonal flows (repatriation), notwithstanding persistent intervention efforts.

Returns on the SRBI instruments continues to climb to draw in more offshore interests, building a yawning gap with the benchmark rate as well as short end yields. **We see this increase as a stealth move to increase rates to draw rate sensitive flows.** When the spread between the BI rate vs SRBIs/ SBN yields was similarly wide back in 2024, a few spillover developments were; a) some extent of cannibalisation of (ex-retail) inflows into the short-term bonds; b) lent an upside bias to the 1Y-2Y yield movements, effectively flattening the curve as official bond purchases helped to contain the long end yield; c) draw in flows from banks especially if global or domestic environment is not conducive; d) absorb banking system liquidity away from productive purposes like boosting credit growth. **Investors are likely to be mindful of these developments this year as well.**



Source: BI, CEIC, DBS

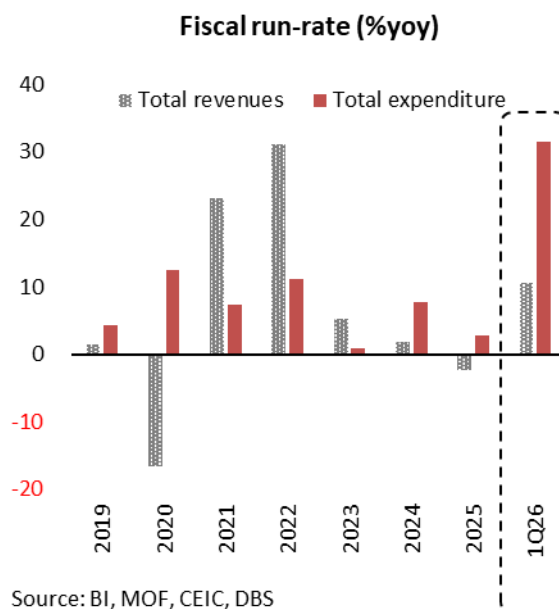
Separately, to help better align offshore NDF with onshore pricing, BI had intended to relax its restriction on domestic banks' participation in the NDF market. Selected primary dealers, particularly those that play a key role in the money markets and foreign exchange, will be allowed to sell in offshore NDFs.

Fiscal deficit to stay anchored

We are mindful of the sensitivities of the fiscal math to changes in crude prices (Indonesia Crude ICP) and rupiah movements. For instance, market estimates are that every USD 10bl increase in ICP compared to baseline (\$70bl) will increase net fiscal spending by IDR 103trn (0.3% of GDP). Meanwhile, assumption on the exchange rate is that every IDR100/ USD depreciation will raise net fiscal spending by IDR 800bn. **For instance**, a scenario under which ICP averages \$92.5bl for the year with an exchange rate at USDIDR 17000, could see the deficit edge above the 3.0% of GDP deficit threshold by 20bp.

Despite elevated pressure on the fiscal math due to high energy costs and consequent need for budgetary support, we expect the -3% of GDP annual deficit threshold to be maintained.

For a start, 1Q26 run rate saw expenditure being frontloaded, rising 30% yoy accompanied by 10% increase in revenues – see chart. This led the 1Q fiscal deficit to jump to -0.93% of GDP vs customary- flat-to-small surplus in most years. Given this weak start to the year, we expect the pace of spending to moderate in the next three quarters, while also carving out savings from existing schemes and flagship programs (including the nutritious food program). The pace of disbursements for the MBG program decelerated into 2Q, which along with broader pronouncements of plans to lower allocation to the program might result in 0.2-0.4ppt of GDP worth room.



Source: BI, MOF, CEIC, DBS

Growth in revenues was strong in 1Q26, partly driven by a low base. While the quarterly pace will slow over the next three quarters, overall revenues are expected to receive a hand from: a) export duties on select commodities; b) better tax administration measures; c) natural resource-based revenues due to higher energy

and base metal prices. **The underlying fiscal math will also be subject to other considerations** for instance , a) if there is any formal roadmap that is tabled to seek a temporary wider deficit akin to the pandemic and then being brought back below -3% of GDP; b) spending in deferred or treated as below the line; c) sharp untenable rally in global crude prices, necessitating a passthrough to subsidised and non-subsidised prices, which will help better balance the fiscal books.

Financial markets

Rupiah has persistently been one of the underperformers this year, aggravated by the outbreak of the US-Iran tensions since March. April-May are seasonally weak periods for the currency on USD repatriation demand. While the macro data is still proving to be relatively resilient, investors have adopted a cautious stance ahead of the MSCI review, rating agencies outlook downgrade and governance issues. **With these in view, we would be cautious on the IDR asset performance this quarter, expecting fiscal rationalisation efforts to be supportive in 2H.**

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